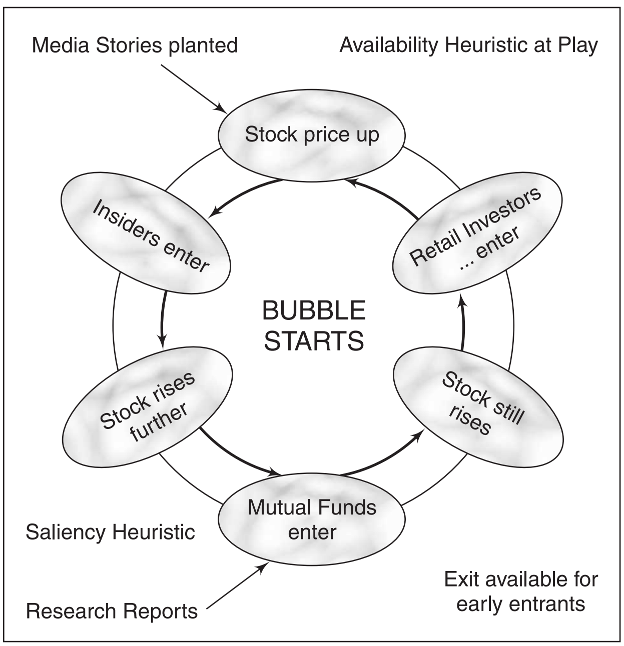
Step 2: Now the stock has got its feet. Regular volume data and the rise in price attracts investors. Saliency heuristic is at work. The rise in stock is seen as a positive turn in the fortunes of the company. Slowly the stock becomes newsworthy. Stories about the company, its growth potential, business environment, earnings potential, restructuring and so on appear in stock market journals and newspapers. Various research reports are published. The availability heuristic is at play. All available information on the company is positive. The recall value for the stock gains prominence and more investors start buying. The seed of greed is sowed. With each price rise, demand for the stock increases and other players such as retail investors join the game. Fundamentals and valuations take a back seat.

FIGURE 10.2



The Bubble Swells